

Five instalments, one round, and what releases each

Money is released against evidence rather than against a calendar. Two of the instalments are priced subscriptions and three are agreements for future equity, capped at a ceiling agreed today. A borrowing facility sits beside them and is switched off in every figure in this folder.

\$2,050,000

PRE-SEED, ACROSS
FIVE INSTALMENTS

\$550,000

COMMITTED AT
CLOSE

\$3,500,000

THE 2028 ROUND,
AT \$30M POST-MONEY

1.5x

THE ROUND AGAINST 2028
RECURRING REVENUE

1 The five instalments, in the order they land

No.	Instalment	Who	When	Amount	Instrument	What has to be true first
1	Angel	Don	Aug 2026	\$50,000	\$0.25 a share	Committed at incorporation
2	Pre-seed one	Brooks	Aug 2026	\$500,000	\$0.50 a share	Build partner engaged, assignment signed
3	Pre-seed two	Open	Oct-Nov 2026	\$500,000	\$15M ceiling	Architecture note, twenty calls, two design partners
4	Pre-seed three	Open	Feb-Mar 2027	\$500,000	\$18M ceiling	Design partners live, first paying customer
5	Pre-seed four	Open	Apr-May 2027	\$500,000	\$20M ceiling	\$10,000 a month across five paying customers
6	Facility	Lender	Aug 2026	\$500,000	8%, interest only	Available at close. Switched off in every figure

Legend. A simple agreement for future equity is money in now with shares issued later, when a priced round sets the price, capped at the ceiling shown and with a fifteen per cent discount and most favoured nation terms. A ceiling protects the early investor if the round prices above it.

Where the first dollars go

The pre-seed against the 2026 and 2027 cost base, bucket by bucket, with the share each one takes.

Bucket	2026	2027	Two years	Share
Team and benefits, net of research credits	\$110,221	\$990,472	\$1,100,693	23.6%
External engineering and build	\$210,000	\$615,000	\$825,000	17.7%
Cost of revenue	\$0	\$1,386,462	\$1,386,462	29.8%
Contingency reserve	\$79,694	\$426,017	\$505,711	10.9%
Sales and marketing	\$0	\$423,788	\$423,788	9.1%
Operating overhead	\$78,250	\$337,500	\$415,750	8.9%
TOTAL TWO YEAR SPEND	\$478,165	\$4,179,239	\$4,657,404	100.0%

Legend. Cost of revenue is the largest single bucket at almost thirty per cent, because the first customers are delivered by hand before implementation is productised. The contingency reserve is a real line rather than a rounding.

2 Does the pre-seed cover it

Test	Amount
Two year spend, 2026 and 2027	\$4,657,404
Revenue earned over the same period	\$3,879,925
Grants received over the same period	\$305,000
Net cash used before the seed	\$472,480
Pre-seed raised across 2026 and 2027	\$2,050,000
Of which lands in 2026	\$1,050,000
Cash at the end of 2027	\$1,099,173

Legend. The two year spend is \$4,656,943 and the revenue earned against it is \$3,879,925, which is why the net cash used before profit is only \$472,480. The pre-seed is more than four times that figure, and it is still not enough on the monthly road, because of when the money arrives rather than how much of it there is.

The annual arithmetic says the pre-seed covers it. The monthly road says otherwise.

Both are true. A year that adds up can still contain a month with nothing in the account. 05.8 is the document that carries the eight of them, and it is the one to read before this table is taken as an answer.

What the round costs in ownership

Five cases, the same plan underneath each one, and what each costs the people already here.

Case	Raised	Post-money	Multiple of 2028 recurring	SAFEs convert to	Seed takes	The founder keeps
Priced off 2027 instead, the case against waiting	\$3,500,000	\$8,414,163	0.43x	21.0%	41.6%	20.7%
A thin round	\$3,000,000	\$22,000,000	1.13x	8.8%	13.6%	51.1%
Base case, carried in this model	\$3,500,000	\$30,000,000	1.54x	8.6%	11.7%	52.7%
Ambitious, if the ramp beats the plan	\$5,000,000	\$40,000,000	2.05x	8.6%	12.5%	52.1%

Legend. The base case is the third row. Pricing the round off 2028 rather than 2027 is the most valuable decision in the plan: the multiple of recurring revenue barely moves, but the revenue it is priced against is four and a half times larger a year later, so the same money costs a third of the ownership.

3 The base case, in one line each

What is raised	\$3,500,000 at a \$30,000,000 post-money valuation, against recurring revenue of \$19,486,034 at the end of 2028, which is 1.5 times.
What the round is raised on	238 live customers, ten of them deployed and willing to take a reference call, and a 69.9 per cent gross margin. Not a forecast.
What the seed investor takes	11.67 per cent for \$3,500,000. The three agreements for future equity convert at their ceilings and take 8.61 per cent between them, and a ten per cent option pool is created out of the pre-money.
What the founder keeps	52.69 per cent, computed on 16,020,000 founding shares out of the 21,200,000 outstanding after both subscriptions.
What the plan does not need	On the six line plan the company turns profitable in 2028, so the minimum seed the arithmetic requires is nil. Everything above the low point is cushion and speed rather than survival.

The facility, and why it ships switched off

One instalment of borrowing sits behind the plan. The comparison below is the whole reason it is a switch rather than a line.

	As a fourth agreement for future equity	As the borrowing facility
What it costs in ownership at a \$30M round	2.5 per cent, permanently	Nil
What it costs in cash	Nil	About \$90,000 of interest across twenty seven months
What that difference is worth	\$750,000 at a \$30,000,000 round	\$90,000
When it has to be repaid	Never. It converts and stays	Out of the round, and then it is gone
What it does if the round slips	Nothing	It has to be refinanced or repaid. This is the real risk in borrowing

Legend. The facility is roughly eight times cheaper than the same money as equity, and it is sized at one instalment rather than more for exactly the reason in the last row. It is switched off in every figure in this folder, so a reader is looking at the harder version of the plan.

4 What has to be true before the conversation starts

Ten paying, deployed, reference-able customers	The milestone the whole plan turns on. Not revenue, not pipeline, and not a letter of intent. If it slips, the answer is to slow the hiring rather than to raise on a forecast.
One completed independent review that used our evidence pack	A reviewer with no relationship to the company accepting the record without a follow up request. That retires the product objection, and nothing else does.
A second rule maker running on the same build	Configured rather than rebuilt, with no fork in the code. That is the platform claim, and it is what makes the cost structure hold as the duty set widens.
The low point behind us rather than ahead of us	May 2028 is the month. The round closes in October 2028, so the conversation happens with the hardest month already survived and in the record.

Money released against evidence, not against a calendar.

Each of the five instalments above names the thing that has to be true first, and each one is either true or it is not. That is the whole of the funding discipline in this plan, and it is why the instalments are small and the checkpoints are specific.